STOCK PITCH · SYSTEMATIC VALUE PORTFOLIO · 29 OCTOBER 2026

Kansai Electric Power

Tokyo Stock Exchange: 9503 · Utilities / Electric utilities · Japan

Japan's nuclear leader is modestly cheap, once record 2025 profits are normalised

NEUTRAL Medium conviction

Price	**¥2,754**
Target (base case)	**¥2,970**
Upside / downside	**+8%**
Horizon	**12 months**

Price: close, 29 Oct 2026, before H1 results

¥3.07tn	0.85x	¥290bn (−44%)	2.9%
Market cap	P/B (third-party)	FY26 ordinary profit guide	Dividend yield

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Japan's nuclear leader is modestly cheap, once record 2025 profits are normalised

NEUTRAL

¥2,970

base-case value, +8% vs ¥2,754

Kansai runs 45% of Japan's operating nuclear capacity and trades at 0.85x book. But FY2025 was a peak year (84% nuclear capacity factor, fuel time-lag gains), and the company's own plan guides ordinary profit down 44% in FY2026 and ROE to about 8-9%. On normalised returns the upside is single-digit: we keep the model weight.

1

A unique asset

Seven pressurised-water reactors (6,578 MW), 45% of Japan's operating nuclear capacity. Each point of capacity factor is worth about ¥5.7bn of ordinary profit.

2

But the trailing earnings are a peak

FY2025 ordinary profit of ¥518.5bn benefited from an 84% capacity factor and fuel time-lag gains. The FY2026 guide is ¥290bn and the 2026-28 plan averages ¥270bn. Trailing P/E overstates value.

3

Capital returns are steady, not large

A 25-35% payout, a progressive dividend (¥80 guided) and at least ¥270bn of returns over FY2026-28, funded partly by asset sales. Yield 2.9%.

Kansai Electric Power at a glance

Energy

Generation, retail and gas: ¥377bn of the ¥519bn FY2025 ordinary profit. Generation mix 49% nuclear, 37% thermal, 14% hydro.

Transmission & distribution

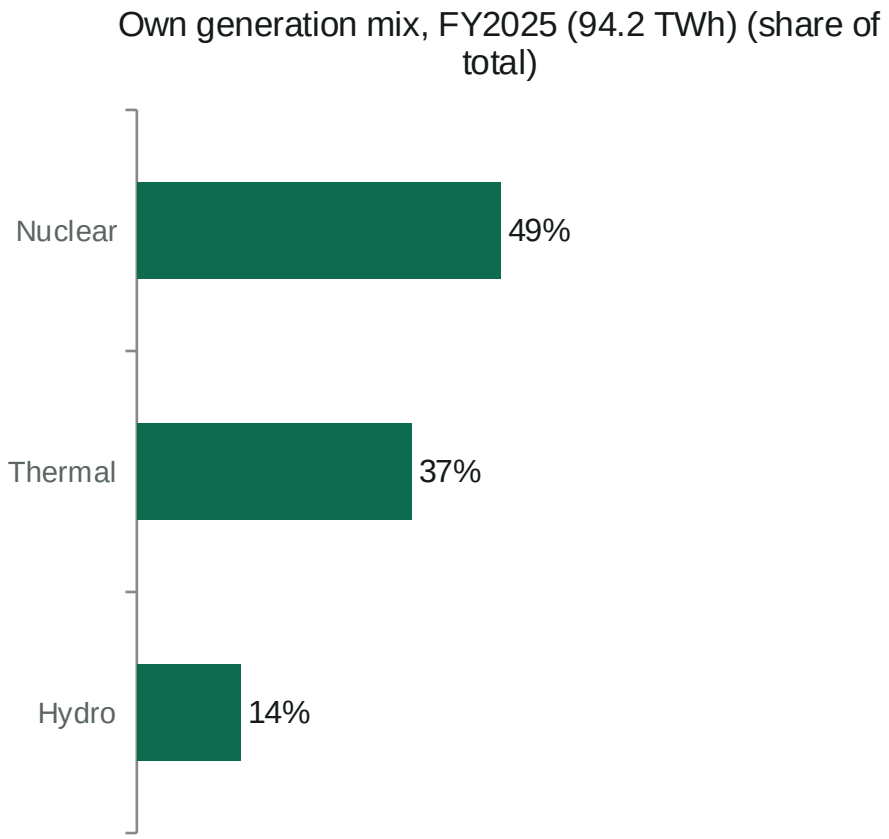
Regulated network (Kansai T&D): ¥63bn. Revenue cap raised by ¥149.6bn from November 2026.

ICT

Optage fibre and data centres: ¥47bn.

Real estate

Kanden Realty: ¥36bn; more than ¥550bn of property to be recycled under the 2026 plan.



Source: company filings; Own generation mix, FY2025 (94.2 TWh)

What moves the stock beyond the company

62.7% — **Nuclear availability**

H1 FY2026 capacity factor (77.2% a year earlier): outages are the main swing factor.

$108/bbl — **Crude oil**

H1 FY2026 average versus an $80 plan assumption; fuel costs pass through with a 3-5 month lag.

¥160/$ — **Yen**

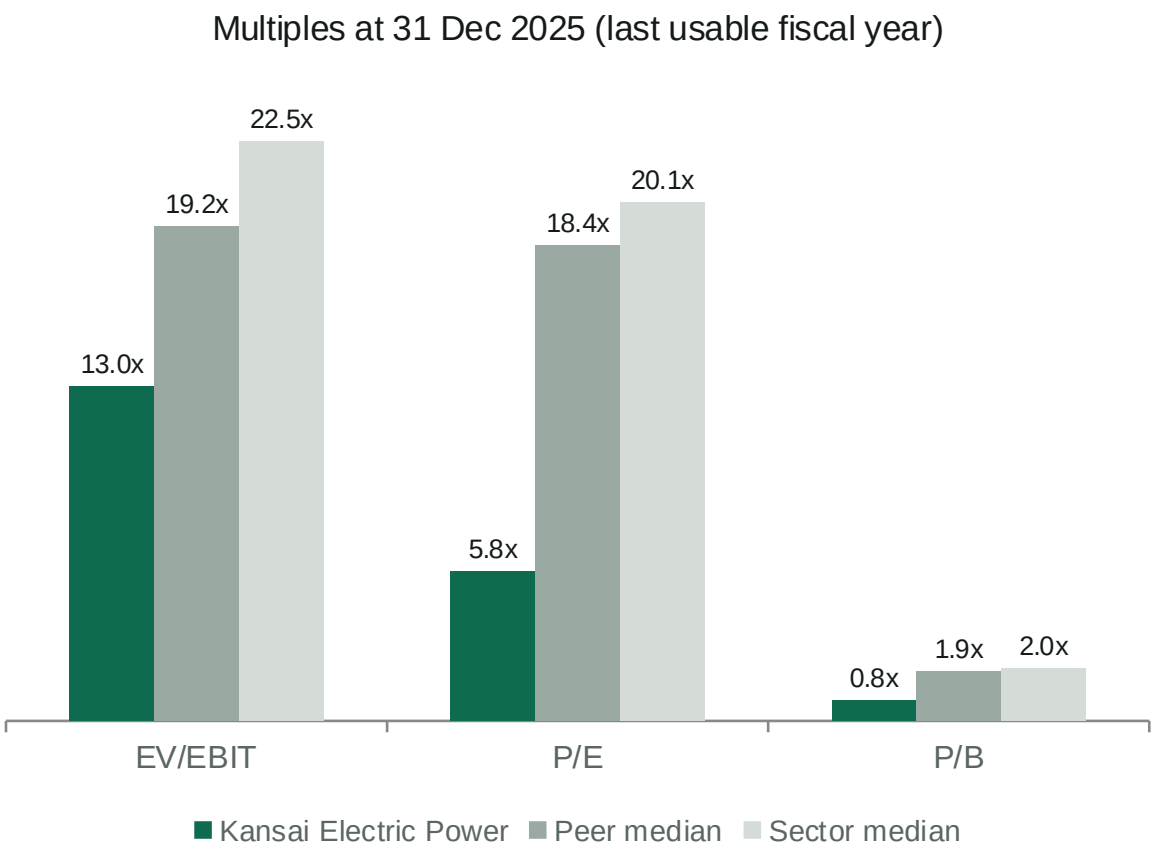
Each ¥1 move against the dollar is worth about −¥1.2bn of profit.

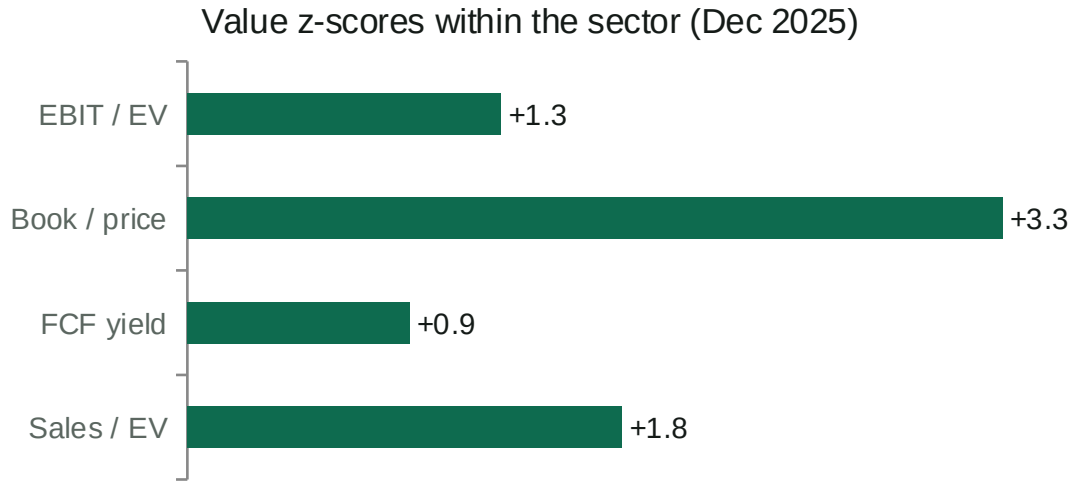
1 Nov 2026 — **Regulation**

New T&D wheeling tariffs apply after the revenue-cap approval.

Source: company releases and research brief (see Sources slide)

Ranked 1 of 59 in Utilities on our value score

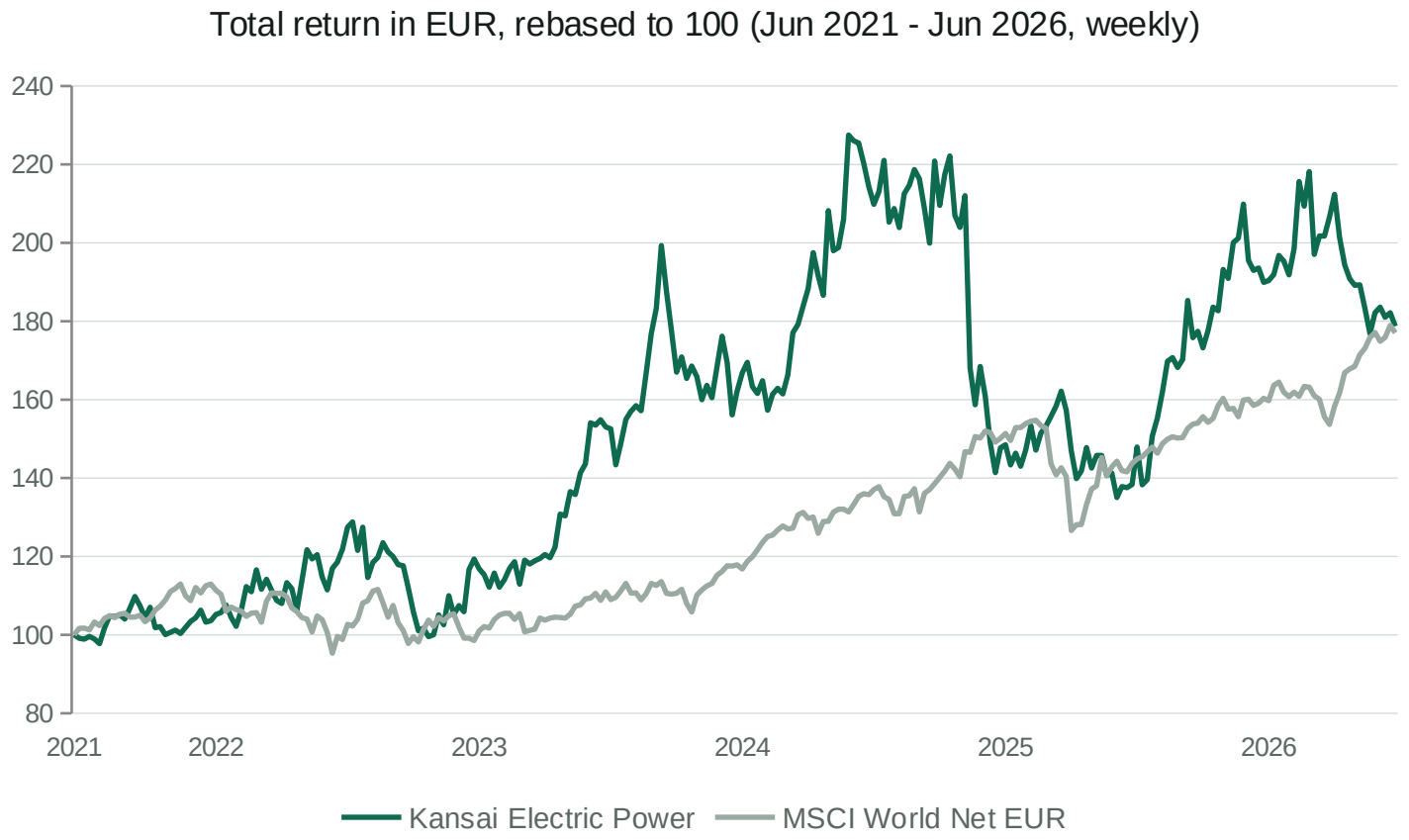




Composite score 1.81, first of 59 in its sector. The score averages the z-scores above (four ratios as yields). Accounts are used only from fiscal year end + 6 months, so in December 2025 the screen read the accounts for the fiscal year ended March 2025.

Source: Portfolio Project pipeline (Bloomberg data); peers: Engie, Power Assets, American Electric Power, Iberdrola, Enel, EDP (pipeline peer set); Kyushu and Chubu Electric for Japan.

Held at 2 of 10 rebalances since June 2025



−6.4%

H1 2026 return (EUR)

+10.8%

MSCI World Net EUR, H1 2026

2.0%

Weight, equal weight

4.0% / 4.0%

Min-variance / mean-variance

Source: pipeline weekly total returns (EUR, net of withholding tax) and portfolio weights at the 31 Dec 2025 rebalance

Reported numbers and guidance

	FY2024	FY2025	H1 FY2026	FY2026 guide
Net sales	—	¥4,057bn	¥2,235bn	¥4,500bn
Ordinary profit	¥532bn	¥519bn	¥112bn	¥290bn
Net profit	¥420bn	¥380bn	¥183bn*	¥310bn
EPS	¥436	¥341	—	¥278
DPS	—	¥75	¥40 interim	¥80
Free cash flow	¥233bn	¥80bn	−¥300bn	—
Net debt / EBITDA	—	3.8x	—	~5x (plan)

*Includes a ¥105bn gain on Kinden shares. Fiscal year ends 31 March (FY2025 = Apr 2025-Mar 2026). Sources: Kansai Electric FY2025 and H1 FY2026 results.

07 VARIANT PERCEPTION

Where we differ from the market

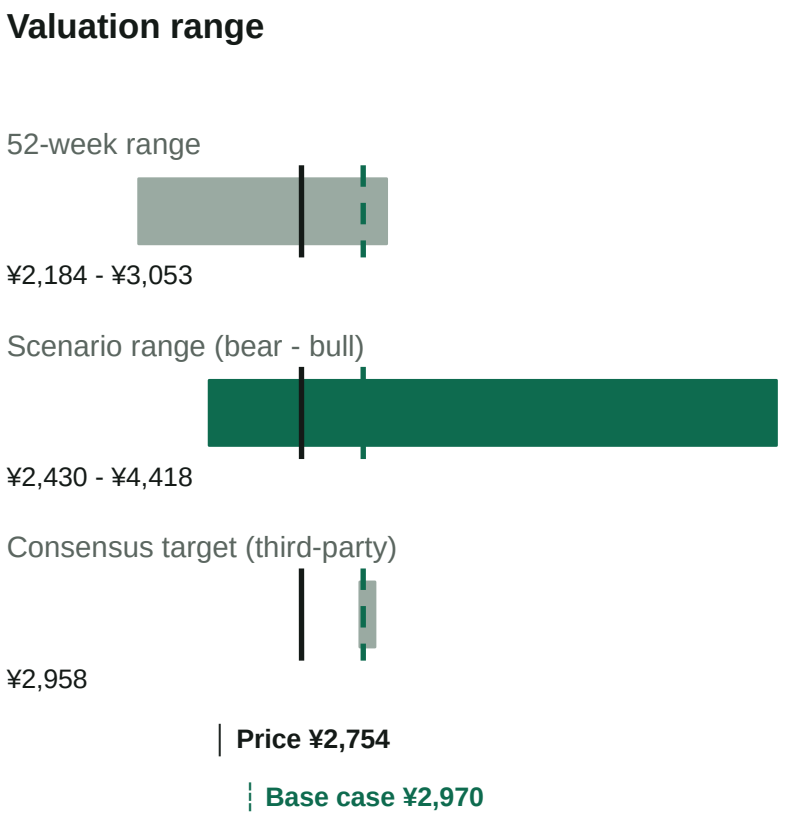
WHAT THE MARKET BELIEVES	OUR VIEW
“Data centres will drive a demand boom”	Kansai-area demand is flat: 133.7 TWh in FY2025 and 133.1 TWh forecast for FY2026.
“The H1 collapse is temporary”	Partly: the −¥87bn fuel time lag should reverse. But outages (62.7% capacity factor) and ¥2.5tn of capex are structural.
“At 0.85x book it must be cheap”	Only if ROE holds near 9%; the plan itself guides ROE down to about 8.7%, and normalised ROE is closer to 6-7%.

Base-case value ¥2,970 per share, +8% vs today

Method: Justified price to book (Gordon growth)

Scenario	Key inputs	Value / share	vs price
Bear	ROE 5.5%, CoE 7.0% → 0.75x book Outages persist; capex dilutes returns	**¥2,430**	**−12%**
Base	ROE 6.5%, CoE 7.0% → 0.92x book Normalised ROE on plan profits	**¥2,970**	**+8%**
Bull	ROE 8.5%, CoE 6.5% → 1.36x book Plan ROE delivered; nuclear above 70%	**¥4,418**	**+60%**

A regulated-plus-merchant utility is worth (ROE − g) / (cost of equity − g) times book. We take book per share implied by the 0.85x third-party P/B, long-term growth of 1%, a 6.5-7% cost of equity, and ROE between the normalised level (~5.5-6.5%) and the plan's ~8.5%.



Source: own valuation; 52-week range and consensus from third-party data (29 Oct 2026)

What could move the stock in the next 12-18 months

1 Nov 2026

Wheeling tariff uplift

Late Jan 2027

Q3 FY2026: does the fuel time lag reverse as crude eases?

End Apr 2027

FY2026 results, FY2027 guide and first full year under the 25-35% payout

FY2026-28

Further shareholding sales (¥230bn of a ¥380bn+ target done)

Ongoing

Reactor restart dates driving the capacity factor back toward 70%+

The number to watch: Upgrade if ROE guidance moves back above 9% with capacity factor above 75%

Risks, mitigants and what would make us sell

Risk	Mitigant
Extended outages or court injunctions	Largest fleet in Japan: diversified across 3 sites
Fuel and yen	Pass-through with a lag
¥2.5tn capex and possible equity raise	Asset recycling > ¥550bn
Regulated tariffs	T&D cap just raised

WE CHANGE THE CALL IF

- Upgrade if ROE guidance moves back above 9% with capacity factor above 75%
- Downgrade on a new equity raise or a nuclear injunction
- Downgrade if the progressive dividend policy is abandoned

Sources

[K1] Kansai Electric Power, *FY2025 Financial Report* (results presentation), 30 Apr 2026

[K2] Kansai Electric Power, *Q1 FY2026 Financial Report*, 31 Jul 2026

[K3] Kansai Electric Power, *Q2 FY2026 Financial Report*, 29 Oct 2026

[K4] Kansai Electric Power Group, *Management Plan 2026: Kanden Transformation toward 2040*, April 2026

[K5] Kansai Electric Power, *Notice Regarding Revision of Shareholder Return Policy*, 30 Apr 2026

[K6] Kansai Electric Power, notice on the sale of Kinden shares in the tender offer, 2 Jun 2026

[K7] World Nuclear News, "Kansai begins surveys of Mihama site for new reactor", Nov 2025

[K8] BNN Bloomberg, "Kansai Electric to raise up to $3.3 billion from share sale", 13 Nov 2024

[K9] StockAnalysis.com, 9503 quote and statistics (third-party, delayed), 29 Oct 2026

Portfolio Project pipeline: scores, multiples, weights and returns computed from Bloomberg data extracted on the SKEMA terminal (Oct 2026).

Disclosure: student research prepared for educational purposes and job interviews. It is not investment advice or a solicitation. Third-party market data (prices, consensus, forward multiples) is labelled and was accessed on 29 October 2026; third-party figures should be checked against company filings or a Bloomberg terminal before use. Backtest results are hypothetical.